OCAD - ONE COMPANY A DAY

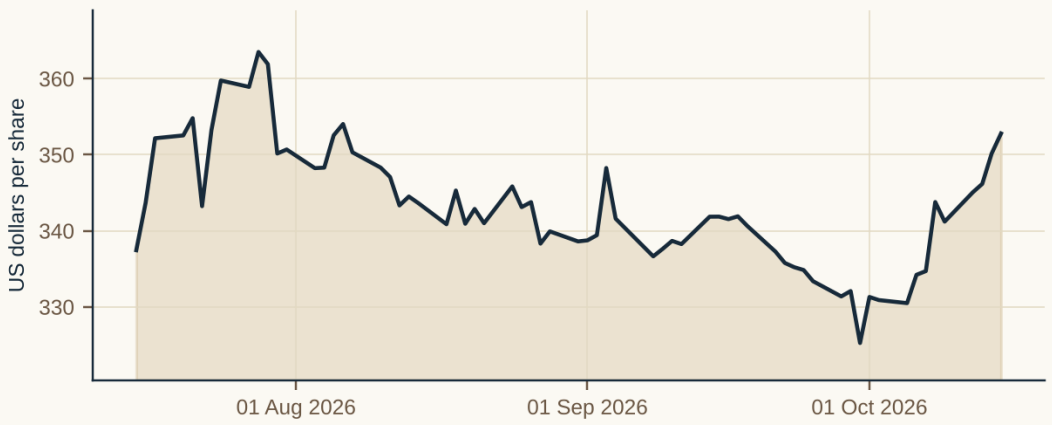
SERIES: INSURANCE

Chubb Limited

CB | New York Stock Exchange

US$ 352.79 per share

Closing price, Thursday 15 October 2026, latest completed trading day



CB daily closing price, 15 July 2026 to 15 October 2026, US dollars per share. Source: Alpha Vantage daily price series.

REPORT DATE	ANALYST	SERIES	EXCHANGE
16 October 2026	Arthur Faugeron	Insurance	New York Stock Exchange

Executive Summary

Chubb is one of the world's largest publicly traded property and casualty insurers, earning money three ways at once: underwriting profit on roughly $48 billion of annual P&C premiums, investment income on a $173 billion portfolio, and a growing life and health franchise concentrated in Asia. At US$ 352.79 the shares trade at 1.81 times book value and 12.5 times trailing earnings, while commercial pricing in its largest profit pool is falling.

Business

Chubb underwrites commercial and personal property and casualty insurance, accident and health, life insurance and reinsurance in 54 countries, with about 45,000 employees. In 2025 North America generated 59% of net premiums written and deposits, Asia 23%, Europe and the United Kingdom 12% and Latin America 6%; commercial lines are about 60% of the company and consumer lines about 40%, distributed mainly through roughly 50,000 brokers and independent agents.

Financial Condition

Fiscal 2025 net premiums written were $54.8 billion (up 6.6%), core operating income was $9.95 billion (up 8.9%), net income was $10.31 billion and the P&C combined ratio was a record 85.7%. Operating cash flow was $12.8 billion; capital expenditure is not separately disclosed and is immaterial for an insurer, so free cash flow approximates operating cash flow, and for the twelve months to June 2026 operating cash flow was $15.4 billion and net income $11.2 billion. Balance-sheet debt including hybrid and repurchase obligations was $21.9 billion at 30 June 2026 against $80.8 billion of total equity, a debt to total capital ratio of 21.3% (calculated).

Market Position

Direct competitors are Travelers, AIG and Hartford in the United States, with Zurich, AXA XL and Allianz in global commercial lines and AIA and Ping An in Asian life. Chubb's main advantage is underwriting discipline at scale: its second-quarter 2026 combined ratio of 83.8% compares with 83.6% for Travelers and a global commercial market in which rates fell 6% year on year in the same quarter. Its main weakness is concentration of profit in large commercial property and casualty accounts, where pricing is softening fastest.

Valuation

Market capitalization is $136.1 billion and provider-defined enterprise value is $158.6 billion; trailing P/E is 12.5, forward P/E 12.4, price to book 1.81, price to tangible book 2.67 (calculated), EV/EBITDA 10.7 and price to operating cash flow 8.9. Dividend yield is 1.16% and, adding repurchases, the trailing shareholder yield is about 4.4% (calculated).

Investment Framework

WHAT IS ATTRACTIVE	Record underwriting margins (combined ratio 83.8% in the second quarter of 2026), a $173 billion investment portfolio that is almost 88% liquid and A-rated fixed income, double-digit growth in tangible book value per share (17.1% year on year) and about $5 billion a year returned to shareholders.
WHAT IS CONCERNING	Global commercial rates fell 6% in the second quarter of 2026 (property down 12%), North American major accounts and E&S premiums fell 9%, and management states that loss costs in casualty are rising 6 to 7% on primary and 9.5 to 12% on excess business.
WHAT MUST GO RIGHT	Casualty reserves must prove adequate, catastrophe losses must stay within the 4.5 to 7 points of combined ratio seen from 2021 to 2024, and investment income growth (about 9% a year recently) must offset a gradual rise in the combined ratio.
WHAT COULD BREAK THE THESIS	A multi-year casualty reserve charge, a severe catastrophe year combined with a soft market, a credit event in private assets, or loss of the long-serving chief executive without a credible successor.
PRICED IN	A discounted-cash-flow reverse test at a 9.0% cost of equity implies the share price already discounts roughly flat to slightly declining distributable earnings for five years, which appears reasonable rather than demanding; the multiple on book value is, however, at the top of its five-year range.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	High. Diversified across lines, regions and distribution; three separate profit engines (underwriting, investments, life).
Financial quality	High. Core operating ROE of 14.3% in the first half of 2026 and earnings supported by cash flow of 1.24 times net income in 2025.
Competitive position	Strong. Scale, A++ financial strength rating and broker access; position is cyclical rather than structural in pricing.
Growth profile	Moderate. Premiums up 3.6% in the second quarter of 2026 against 6.6% in 2025, with Asia and middle market growing faster than major accounts.
Balance-sheet risk	Low to moderate. Debt to capital of 21.3%, intangibles are 33% of book value, reserves of $89.7 billion are 1.2 times equity.
Valuation	Reasonable relative to returns. P/E near its five-year average of 12.3 but price to book of 1.81 near the top of its range of 1.39 to 1.81.
Market and technical profile	Constructive trend, extended momentum. Price 3.6% above the 50-day average, RSI of 67.6, low beta of 0.38 against the S&P 500.

Source: analyst assessment based on the figures in sections B and C.

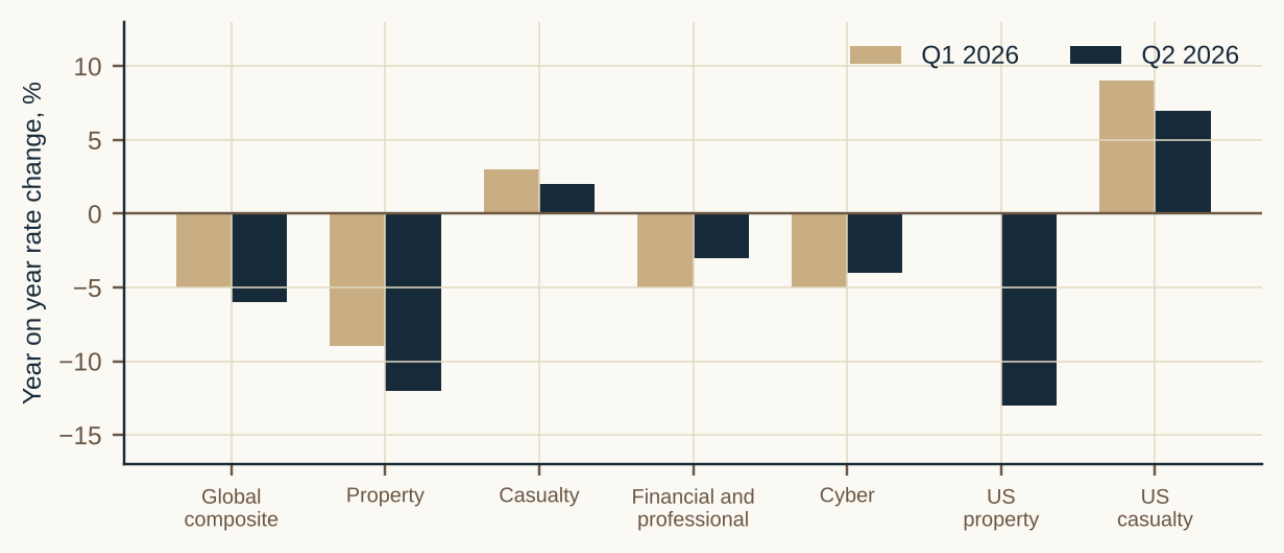
A. About the Business

A1. Business Environment

Chubb operates in global property and casualty insurance, life and health insurance, and reinsurance. The industry sells promises of future payment in exchange for premiums collected today. Value is created in three places: underwriting margin (premium less claims and expenses), the return earned on the float (premiums held until claims are paid), and, in life insurance, the spread between investment returns and policyholder crediting. The value chain runs from risk origination (customers and brokers), through underwriting and pricing, to claims handling, reinsurance protection and finally investment of assets. Capital is the binding input: regulators and rating agencies cap how much premium a given amount of equity can support, so the industry is scale-driven and cyclical in price rather than in volume.

Industry growth is slowing. Swiss Re Institute forecasts real global premium growth of 1.3% in 2026 against 3.9% in 2025, with non-life growth of only 0.6% against a 2015 to 2024 trend of 3.6%, and non-life return on equity of 11.4% in 2026 against 14% in 2025, falling to 7.7% by 2028. Pricing is the visible driver: Marsh reports that its global composite commercial rate index fell 6% in the second quarter of 2026 (first quarter: 5%), with global property down 12%, financial and professional lines down 3%, cyber down 4% and casualty up 2%. In the United States, Marsh shows property down 13% but casualty up 7%.

Commercial insurance rate change by line, year on year



Source: Marsh Global Insurance Market Index, 23 July 2026, Q1 and Q2 2026. Units: percent change in renewal premium. US property for Q1 2026 not published.

Capital intensity is high in balance-sheet terms (Chubb holds $281 billion of assets against $80.8 billion of equity) but low in operating terms (no inventory, minimal fixed assets). Regulation is heavy and local: solvency capital, rate approval in personal lines, and licensing by country. Technology dependence is rising in underwriting analytics, claims automation and distribution. Concentration is moderate: the leading groups hold large shares of commercial lines in individual countries but the global market remains fragmented, with brokers, Lloyd’s syndicates, mutuals and managing general agents all competing.

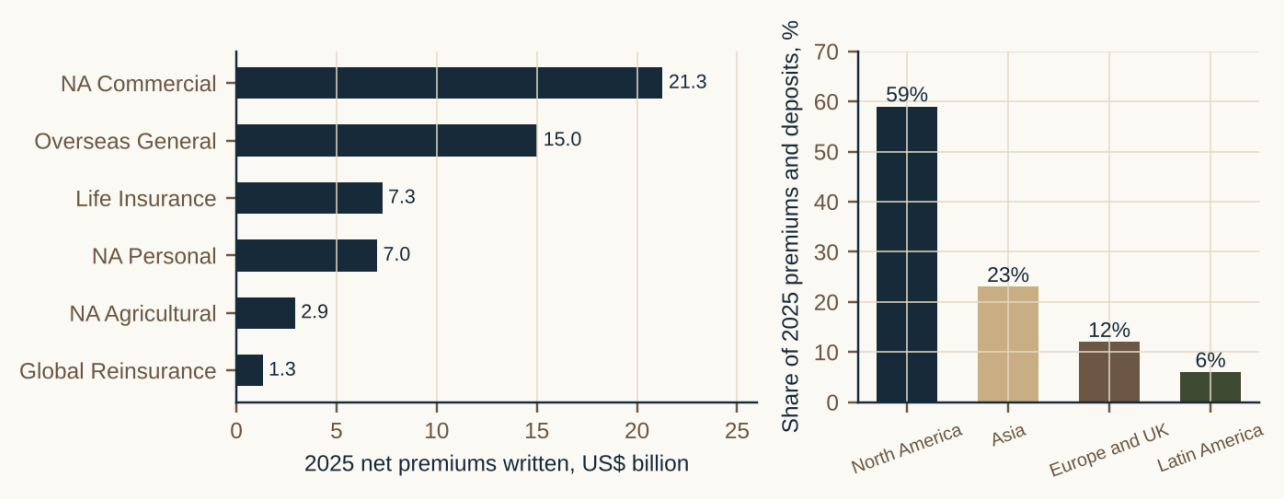
INDUSTRY STAGE

> Mature, cyclical and currently softening, with structural transformation from artificial intelligence and data. Premium growth is slowing to near zero in real terms for non-life while rising claims inflation limits how far prices can fall, which is why Swiss Re describes elevated investment yields as a buffer for underwriting results. The cycle, not the secular trend, drives near-term earnings.

A2. What Does the Company Do?

A new employee would learn that Chubb collects premiums from businesses and households, pools their risks, pays claims, and invests the unspent cash. Segment results for 2025 (US$ million) were: North America Insurance (net premiums written 31,230, combined ratio 83.8%, segment income 9,184), Overseas General Insurance (15,024, 85.0%, 3,167), Life Insurance (7,279, segment income 1,242) and Global Reinsurance (1,309, 79.3%, 634). Within North America, commercial lines (major accounts and E&S, middle market and small commercial) contributed $21.3 billion, personal lines $7.0 billion and agriculture $2.9 billion.

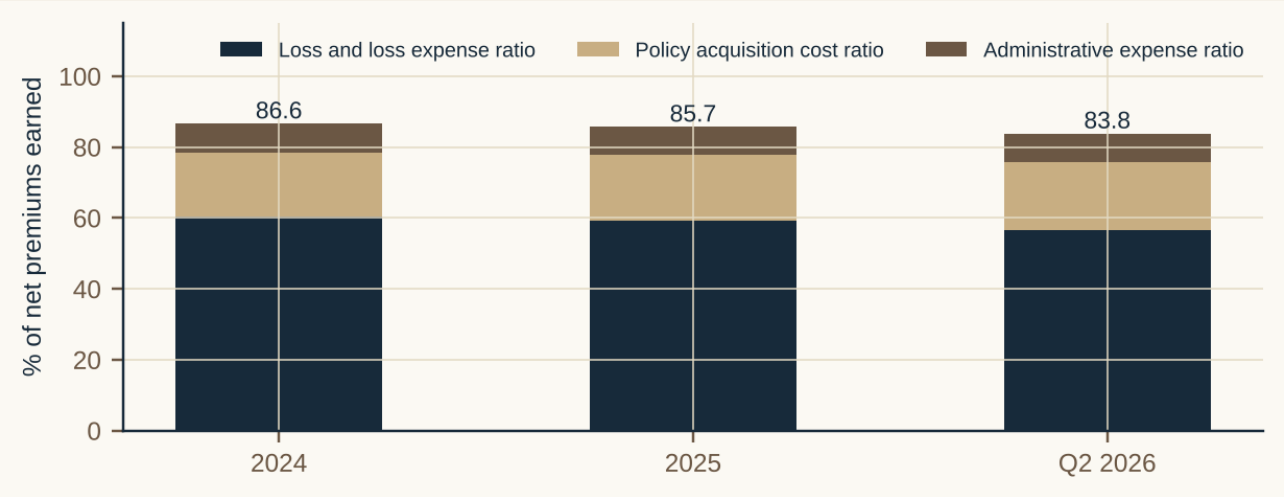
Premium mix by segment and by region, 2025



Source: Chubb 2025 annual report and fourth-quarter 2025 earnings release. Left: net premiums written, US$ billion. Right: share of net premiums written and deposits, percent.

Revenue is largely recurring: policies renew annually and are re-priced at each renewal. Pricing is risk-based and re-set at each renewal, so premium moves with exposure growth and rate change; in North American commercial lines excluding financial lines and workers compensation, second-quarter 2026 pricing rose 1.3% (rates down 1.4%, exposure up 2.7%). The major operating costs are claims (56.7% of premiums earned in the second quarter of 2026), policy acquisition costs, mainly broker commissions (19.1%), and administrative expenses (8.0%).

Components of the P&C combined ratio



Source: Chubb earnings releases, fourth quarter 2025 and second quarter 2026. Units: percent of net premiums earned.

How one dollar of revenue is used

For every $1.00 of P&C net premiums earned in 2025, Chubb paid $0.591 in losses and loss expenses, $0.186 in policy acquisition costs and $0.080 in administrative costs, leaving $0.143 of underwriting profit before investment income. Premiums are then invested, adding about $0.15 of adjusted net investment income per dollar of P&C premium (calculated: $6.95 billion over about $45.7 billion of P&C earned premium, itself derived from underwriting income of $6.53 billion at a 14.3% margin), and the combined pre-tax profit is taxed at roughly 19.5 to 20%, shared with minority holders in Huatai, and distributed.

1. CUSTOMER
Corporations, small businesses, affluent households, farms and insured individuals through brokers, agents, bancassurance and digital partners

2. PRODUCT AND SERVICE
Commercial and personal P&C, accident and health, life, reinsurance, risk engineering and claims service

3. REVENUE
2025 net premiums written $54.8 billion plus $6.95 billion adjusted net investment income and $1.2 billion life segment income

4. COSTS
Losses 59.1 cents, acquisition 18.6 cents and administration 8.0 cents per dollar of P&C earned premium, 2025

5. OPERATING PROFIT
P&C underwriting income $6.53 billion; core operating income $9.95 billion after tax and minorities

6. CASH FLOW
Operating cash flow $12.8 billion in 2025 and $15.4 billion for twelve months to June 2026

7. CAPITAL ALLOCATION
2025: $1.5 billion dividends, $3.4 billion repurchases (trade date), growth in invested assets and acquisitions

The economically most important parts are North America commercial underwriting and the investment portfolio: North America Insurance produced $9.2 billion of the roughly $14 billion of segment income, and investment income of about $7 billion is largely independent of the underwriting cycle in the short term.

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
Brokers and agents	About 50,000 brokers and independent agents; Chubb states it is first or second among 15 of the 20 largest US brokers.	Brokers control access to commercial customers and receive commissions, which drive the 19.1% acquisition cost ratio.
Exclusive and bank channels	Hundreds of thousands of exclusive life and health agents, bank partners, over 250 digital distribution partners in Overseas General.	Reduces dependence on brokers and supports the faster growth of Asian life and consumer lines.
Reinsurers	Reinsurance recoverable on losses of $20.3 billion at 30 June 2026.	Protects capital against catastrophes but creates counterparty credit exposure.
Huatai group (China)	About 87.2% of Huatai Insurance Group, 89.5% of Huatai Life, 79.2% of Huatai Asset Management at 31 December 2025.	Gives Chubb access to Chinese life and asset management; minority interest of $5.5 billion appears in equity.
KKR Strategic Holdings	Half of Chubb's private investment portfolio sits in a partnership with KKR; management cites a 15% internal rate of return in private equity and 9% in private credit.	Higher-return assets raise investment yield but carry valuation and liquidity risk.
Life and health subsidiaries	Combined Insurance Company of America, ACE Life, Chubb Life New Zealand, Chubb Benefits and worksite benefits.	Worksite benefits premiums grew 14% in the second quarter of 2026; Life segment income was $1.24 billion in 2025.
Runoff counterparties	Century Indemnity Company holds about $1.9 billion of aggregate ceded balances; asbestos and environmental liabilities are about 1.4% of gross reserves.	Legacy liabilities continue to produce adverse development ($158 million in the second quarter of 2026).
Competitors	Travelers, AIG, Hartford, Zurich, AXA XL, Allianz, AIA, Ping An and managing general agents.	Set pricing and compete for the same brokers, talent and capital.

Source: Chubb 2025 annual report and Form 10-K (executive officers, Huatai ownership, distribution), Form 10-Q for the quarter ended 30 June 2026, second-quarter 2026 earnings release and call commentary. Competitor list is analyst judgement.

A4. Competition

COMPETITIVE COMPARISON, US$, TRAILING TWELVE MONTHS, PRICES AT 15 OCTOBER 2026

Company	Market cap, bn	Revenue, bn	Net income, bn	P/E	P/B	ROE
Chubb	136.1	61.9	11.2	12.5x	1.81x	14.8%
Travelers	80.1	49.0	8.2	10.3x	2.42x	26.5%
AIG	41.4	26.7	3.0	14.5x	1.02x	7.2%
Hartford	36.0	29.3	4.3	9.1x	1.87x	22.1%

Source: stockanalysis.com key statistics pages for CB, TRV, AIG and HIG, closing prices 15 October 2026. Combined ratios for AIG and Hartford: Not Retrieved. Travelers second-quarter 2026 combined ratio 83.6% (Travelers earnings release, 15 July 2026).

Travelers is the closest direct competitor in United States commercial and personal lines: Business Insurance net written premiums were $5.98 billion in the second quarter of 2026 at an 86.8% combined ratio, against Chubb North America Commercial net premiums of $5.59 billion at 85.4%. Travelers reports a higher core return on equity of 24.9% in the quarter against Chubb's core operating ROE of 14.5%, partly because Chubb holds more equity (including $20 billion of goodwill and intangibles) and consolidated Huatai. AIG competes in large commercial and specialty accounts and trades at 1.02 times book on a 7.2% return on equity, reflecting its recovery from a weaker base. Hartford competes in middle market, small commercial and group benefits and trades at 1.87 times book. These three were selected because they compete with Chubb for the same brokers, customers and underwriting talent in the same product lines.

Indirect and geographic competitors include Zurich Insurance, AXA XL and Allianz in global commercial lines and AIA Group and Ping An in Asian life, where Chubb has no leading position by size. Substitutes are self-insurance, captives and the catastrophe bond market, which take property risk out of the traditional market. Emerging competitors are managing general agents and new E&S carriers, which Greenberg said in July 2026 are underwriting financial lines at inadequate prices and terms. Scale figures for the non-US peers are Not Retrieved.

Valuation and return comparison with US peers



Source: stockanalysis.com, closing prices 15 October 2026. Units: multiples in times; return on equity in percent, trailing twelve months.

A5. Competitive Differences

Chubb's advantages are scale and breadth (54 countries, $54.8 billion of premiums and a book diversified across lines), a distribution network of about 50,000 brokers and agents, an A++ financial strength rating from AM Best affirmed in January 2026, and a long record of underwriting discipline: the combined ratio fell from 89.1% in 2021 to 85.7% in 2025 and 83.9% in the first half of 2026. Brand and capacity matter in affluent personal lines and large commercial accounts, where clients pay for claims service and certainty of payment. Investment management is a separate advantage: Chubb's $173 billion portfolio,

managed in house with a private-asset program alongside KKR, produced adjusted net investment income of about $6.95 billion in 2025.

Disadvantages are the exposure of earnings to a soft market in the lines Chubb is largest in (major accounts and E&S premiums fell 9.0% in the second quarter of 2026), limited pricing power in commodity property and financial lines, a lower reported return on equity than Travelers and Hartford, 33% of book value in goodwill and intangibles, regulatory complexity in China and Asia, and key-person dependence on the chairman and chief executive, who has led the company since May 2004 and is 71. Most advantages are structural (scale, rating, distribution, underwriting culture); pricing power is temporary and cyclical.

MOAT ASSESSMENT: STRONG

> Chubb has kept its P&C combined ratio below 90% in each of the last five years and returned 13.7 to 15.4% core operating ROE from 2023 to 2025 with a conservative balance sheet. These returns exceed a cost of equity of about 9%, evidence of a durable advantage. The moat is not Very Strong because insurance is largely a price-taking business, switching costs are low for commercial buyers and returns still fall when prices fall.

A6. Industry Trend

Historically, commercial rates rose from 2018 to 2023 as insurers repaired reserves and catastrophe models; since 2024 rates have turned, with Marsh's composite falling 5% in the first quarter and 6% in the second quarter of 2026. Demand drivers are rising exposure (asset values, inflation, AI infrastructure investment, which Swiss Re estimates at $750 billion of hyperscaler spending in 2026), expanding middle classes in Asia and Latin America, and rising cyber and supply-chain risk. Supply drivers are abundant capital: catastrophe bonds, reinsurance capacity and private-capital-backed MGAs that compete on price. Swiss Re highlights claims inflation and catastrophe exposure as the factors that limit price corrections, and elevated investment yields as the buffer for underwriters.

The industry is mature and cyclical, with consolidation among large carriers and disruption at the margins from data and artificial intelligence. Structural trends are growth in Asian life and health, longer-run inflation in liability losses and the migration of property risk to capital markets. Temporary conditions are the current soft property cycle, light United States hurricane seasons in 2025 and the high-yield environment. The trend could reverse through a major catastrophe or a large reserve strengthening event across the industry, either of which would harden rates quickly, or in the opposite direction through a sharp fall in investment yields that removes the buffer for weaker underwriters.

A7. Management

EXECUTIVE TEAM

Name	Position	Background
Evan G. Greenberg (71)	Chairman and Chief Executive Officer	Director since 2002, chief executive since May 2004, chairman since May 2007.
John W. Keogh (61)	President and Chief Operating Officer	President since December 2020, chief operating officer since July 2011; previously chairman of Overseas General Insurance.
Peter C. Enns (60)	Executive Vice President and Chief Financial Officer	Joined April 2021; previously HSBC (global co-head of investment banking coverage) and 21 years at Goldman Sachs, including chief executive of Goldman Sachs Canada.
Juan Luis Ortega (51)	President, North America Insurance	With Chubb since 1999; president of Overseas General 2019 to 2024.
Paul McNamee (50)	President, Overseas General Insurance	With Chubb since 1995; previously regional president, Asia Pacific.
Bryce L. Johns (50)	President, Chubb Life	Since April 2022; previously global chief executive of HSBC Life and Insurance Partnerships.
Timothy A. Boroughs (76)	Vice Chairman; Executive Vice Chairman, Asset Management	Chief investment officer from 2000 to May 2025.

Source: Chubb Form 10-K for fiscal 2025, executive officers as of 27 February 2026.

Management has a record of disciplined capital allocation. Chubb states it returned an average of 58% of core operating earnings to shareholders over five years; in 2025 it returned $4.9 billion ($1.5 billion dividends and $3.4 billion repurchases at an average price of $282.57) and in the first half of 2026 $2.9 billion, repurchasing shares at an average of $326.03. Dividends per share rose each year from $3.18 in 2021 to $3.82 in 2025 (provider data), a compound rate of 4.7%. Repurchases near current prices are accretive to tangible book value only if returns exceed the cost of capital, which they do at a 14 to 15% core return.

Execution is evidenced by the combined ratio, which was 85.7% in 2025 and favorable prior-period reserve development of $1.13 billion in 2025 ($856 million in 2024), a sign that reserves have recently been conservative. Against that, runoff adverse development of $158 million in the second quarter of 2026, over two thirds from molestation claims, shows legacy tail risk. Debt is managed actively: Chubb issued $2.2 billion at a weighted average cost of 4.2% in the second quarter of 2026. Governance and succession are the main open questions: the chief executive is 71 with a 22-year tenure, the vice chairman and former chief investment officer is 76, and the president is 61. Insider ownership percentage and executive pay data are Not Retrieved; the interests of management appear aligned with shareholders through repurchase discipline and long tenure, but the report cannot confirm the size of insider holdings.

B. Evaluation

B1. Financial and Operating Metrics

Gross margin, inventory turnover and receivables turnover are not meaningful for an insurer, which has no cost of goods sold and no inventory; the equivalent measures are the combined ratio, premium and reserve leverage, and investment yield. Chubb reports under US GAAP.

PROFITABILITY AND RETURNS

Metric	2021	2022	2023	2024	2025	TTM Jun 2026
P&C combined ratio	89.1%	87.6%	86.5%	86.6%	85.7%	83.9% (H1)
Operating (pre-tax) margin	18.5%	15.7%	19.0%	20.5%	21.8%	23.6%
Net margin	21.0%	12.3%	18.1%	16.6%	17.3%	18.1%
Return on equity (provider)	14.3%	9.5%	15.8%	14.6%	14.3%	14.8%
Core operating ROE (reported)	9.9%	11.2%	15.4%	13.8%	13.7%	14.3% (H1)
Return on assets	2.4%	2.1%	2.8%	3.0%	3.1%	3.4%
Return on invested capital	8.3%	7.3%	11.7%	11.2%	10.9%	11.1%

Source: Chubb earnings releases for combined ratio and core operating ROE (2024 as restated in the fourth-quarter 2025 release; 2021 to 2023 as originally reported); stockanalysis.com for margins, ROE, ROA and ROIC (provider definitions, calculated from reported statements). Net income is attributable to Chubb.

ROE is lower than at Travelers or Hartford because Chubb carries $28.6 billion of goodwill and intangibles at year-end 2025 and large unrealized-gain-sensitive equity; return on tangible equity is the better comparison, and core operating return on tangible equity was 20.5% in 2025 (21.5% in 2024) and 20.9% in the first half of 2026. ROE and ROIC differ because ROIC includes debt in capital: debt-funded growth raises ROE faster than ROIC, so the 3 to 4 point gap between the two at Chubb reflects both leverage and the large insurance float.

GROWTH, COMPOUND ANNUAL RATES 2021 TO 2025

Measure	CAGR	Comment
Total revenues	10.1%	$40.5 billion to $59.6 billion, includes Huatai consolidation from 2023
Net premiums written	9.7%	$37.9 billion to $54.8 billion
Net income per share	7.5%	$19.24 to $25.68; 2021 included large investment gains
Book value per share	7.7%	$139.99 to $188.59; reduced in 2022 by unrealized losses
Operating cash flow (free cash flow proxy)	3.5%	$11.2 billion to $12.8 billion; 2024 peak $16.2 billion
Dividends per share	4.7%	$3.18 to $3.82
Core operating income per share	18.5%	$12.56 to $24.79; definitions and Huatai effects limit comparability

Source: Chubb earnings releases; stockanalysis.com financial statements. CAGRs calculated by the analyst over four years. Organic growth is not separately reported on a comparable basis: constant-dollar premium growth was 4.8% in Overseas General in the second quarter of 2026 against 10.2% reported.

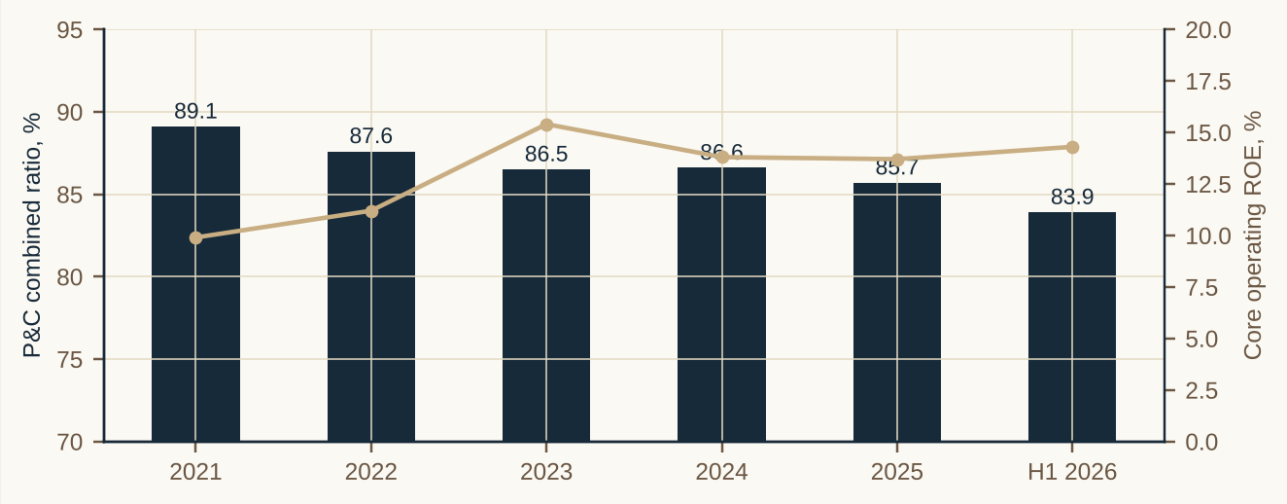
EFFICIENCY, LEVERAGE AND CASH FLOW

Metric	2021	2022	2023	2024	2025
Operating cash flow to net income	1.31x	2.15x	1.40x	1.75x	1.24x
Interest coverage (pre-tax profit plus interest, over interest)	20.9x	12.4x	15.2x	16.5x	18.1x
Debt to total capital (balance sheet debt)	Not Retrieved	Not Retrieved	Not Retrieved	Not Retrieved	20.8%
Reserves to Chubb equity	1.22x	1.50x	1.35x	1.31x	1.19x
Net premiums written to Chubb equity	0.63x	0.83x	0.80x	0.80x	0.74x

Source: stockanalysis.com cash flow and balance sheet; Alpha Vantage income statement (pre-tax income and interest expense); Chubb Form 10-Q for debt. All ratios calculated by the analyst. Capital expenditure is not separately reported; free cash flow is treated as equal to operating cash flow, so capex to revenue is not meaningful.

Cash conversion is above 1.2 times net income in every year because insurers collect premiums before paying claims, so operating cash flow also reflects growth in the float and is not equivalent to distributable profit. The ratio fell to 1.24 in 2025 from 1.75 in 2024, a year in which operating cash flow peaked at $16.2 billion; 2025 also carried catastrophe losses of $2.9 billion, mostly from the California wildfires in the first quarter.

P&C combined ratio and core operating return on equity



Source: Chubb earnings releases. Units: percent. 2021 to 2023 core operating ROE as originally reported; 2024 and 2025 as restated; H1 2026 is the six months to 30 June 2026 (annualized).

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	Soft commercial pricing	High	High	Global rates fell 6% in Q2 2026; Chubb growth in major accounts was down 9%. A 5 point rise in the combined ratio on about $48 billion of P&C premium costs roughly $2.4 billion pre-tax.
2	Casualty reserve adequacy and social inflation	Medium	High	Management cites 6 to 7% primary and 9.5 to 12% excess casualty loss trends and says casualty pricing is not keeping pace. Net loss reserves are about $69 billion.
3	Catastrophe and climate	Medium	High	2025 catastrophe losses were $2.9 billion; 2024 $2.39 billion. Industry insured catastrophe losses approached $129 billion in 2025; a severe hurricane or earthquake season would push Chubb's pre-tax losses beyond its 2023 to 2025 range of $1.83 billion to $2.92 billion.
4	Investment and credit risk	Medium	Medium	$173 billion portfolio, 88% liquid and A-rated; private equity and credit alongside KKR add valuation and liquidity risk. Rising yields reduce book value through unrealized losses.
5	Key person and succession	Medium	Medium	Chairman and chief executive is 71 and has led since 2004; culture is tied to him.
6	China and Asia regulation and currency	Medium	Medium	Huatai (about 87% owned) and Asian life exposure create regulatory, currency and geopolitical risk; Asia is 23% of premiums and deposits.
7	Valuation compression	Medium	Medium	Price to book of 1.81 is at the top of its five-year range of 1.39 to 1.81; a return to 1.5 times book would imply a price of about $293 at current book value (calculated).
8	Technology, AI and cyber	Medium	Medium	AI may reduce acquisition cost and headcount (management plans to reduce headcount through attrition) but also lowers barriers for new entrants; cyber rates are down 4%.
9	Regulation and rate approval	Medium	Low	Personal lines (North America personal combined ratio 91.5% in 2025) depend on regulators approving adequate rates.
10	Refinancing and leverage	Low	Medium	Debt $21.9 billion; $2.2 billion issued at 4.2% in Q2 2026. Debt to capital of 21.3% is moderate; rating agencies constrain further leverage.

Source: analyst assessment using Chubb second-quarter 2026 call commentary, earnings releases, Marsh and Swiss Re data. Probability and impact are judgemental. Dollar sensitivities are calculated by the analyst.

The three risks most capable of permanently impairing shareholder value are: first, a multi-year casualty reserve deficiency, because long-tail liabilities can take years to emerge and reduce equity directly; second, a prolonged soft market in which Chubb either grows into inadequately priced business or loses premium and fixed-cost leverage; and third, a severe catastrophe or credit event that coincides with soft pricing and so cannot be repaired by rate increases.

B3. Valuation

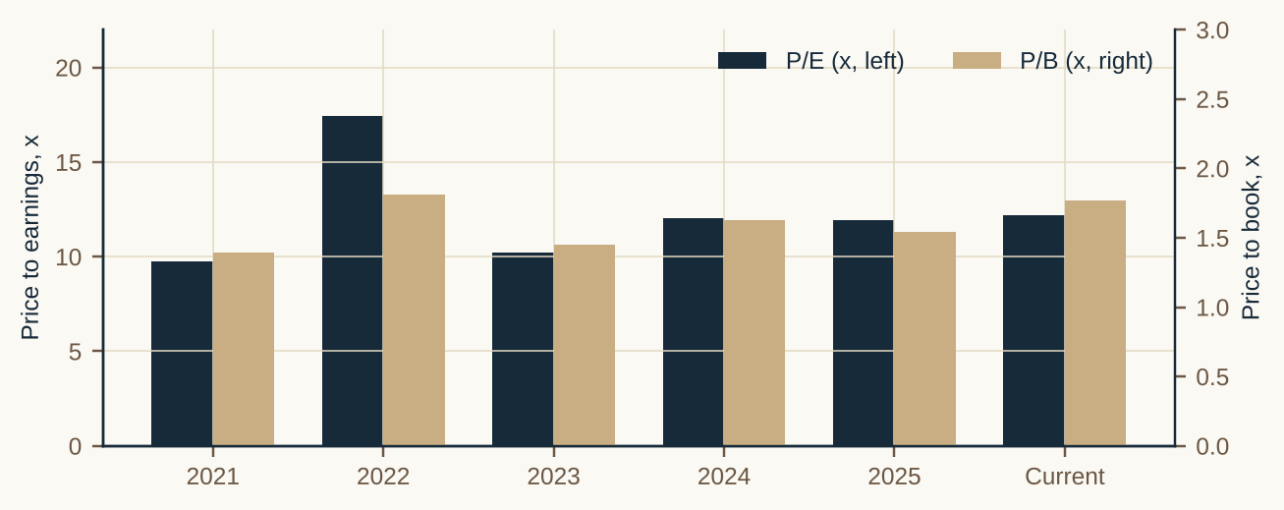
CURRENT VALUATION MULTIPLES, 15 OCTOBER 2026 CLOSE OF US$ 352.79

Multiple	Value	Basis
Price to earnings, trailing	12.5x	Net income per share, provider
Price to earnings, forward	12.4x	Provider forward estimate
Price to TTM core operating EPS	12.1x	Calculated: $29.04 core EPS
Price to book	1.81x	Book value per share $195.45, 30 June 2026
Price to tangible book	2.67x	Calculated: tangible BVPS $131.93
Price to sales	2.20x	Provider
EV/EBITDA	10.7x	Provider; limited meaning for an insurer
Price to operating cash flow (P/FCF proxy)	8.9x	Calculated: $136.1 billion over $15.4 billion
Dividend yield	1.16%	Dividend of $4.08 per share
Shareholder yield (dividends plus repurchases)	4.4%	Calculated: $6.0 billion trailing twelve months

Source: stockanalysis.com (15 October 2026); Chubb second-quarter 2026 earnings release; calculations by the analyst. PEG is not shown because no analyst growth consensus was retrieved.

Historical valuation. Over the last five fiscal year ends, Chubb traded at 9.8 to 17.5 times earnings (average 12.3) and 1.39 to 1.81 times book (average 1.56). The current price to earnings of 12.2 on the provider's 13 October data is close to the average, but price to book is at the top of the range: the price has risen faster than book value this year, with the shares up 12.5% year to date against book value per share up 3.6% in six months, while the earnings multiple has stayed close to its average.

Chubb valuation multiples at each fiscal year end



Source: stockanalysis.com, fiscal year ends 2021 to 2025 and 13 October 2026. Units: times earnings and times book.

Peer valuation. Chubb's 12.5 times earnings sits between Hartford (9.1) and AIG (14.5) and above Travelers (10.3). On price to book it is at 1.81 against Travelers at 2.42 and Hartford at 1.87, which carry returns on equity of 26.5% and 22.1% against Chubb's 14.8%. A simple justified price to book of (ROE minus growth) divided by (cost of equity minus growth) shows what the market is paying for Chubb's returns.

JUSTIFIED PRICE TO BOOK, GROWTH 3.0%

Sustainable ROE	Cost of equity 8.5%	Cost of equity 9.0%	Cost of equity 9.5%
12%	1.64x	1.50x	1.38x
14%	2.00x	1.83x	1.69x
16%	2.36x	2.17x	2.00x

Source: analyst calculation. Current price to book is 1.81x, consistent with a sustainable ROE of about 14% at a 9.0% cost of equity.

Embedded expectations. A reverse test of the discounted cash flow model in section C5, holding the cost of equity at 9.0% and terminal growth at 3.0%, gives an implied five-year distributable earnings growth rate of about minus 0.9% a year from a 2026 base of $11.3 billion. The market is therefore not pricing earnings growth over the next five years: it is pricing a modest decline from record earnings followed by normal growth. At a cost of equity of 8.0% the implied growth is about minus 7.6% a year, and at 10.0% about plus 7.6% a year, so the conclusion is sensitive to the discount rate (analyst calculation). These expectations appear reasonable: the base case in section C4 assumes core operating income roughly flat in 2027 (a combined ratio rising to 85.8%) and 2.5% growth in 2028. The expectation embedded in price to book is more optimistic, as it requires returns near 14% to persist.

B4. Capital Market and Stock Analysis

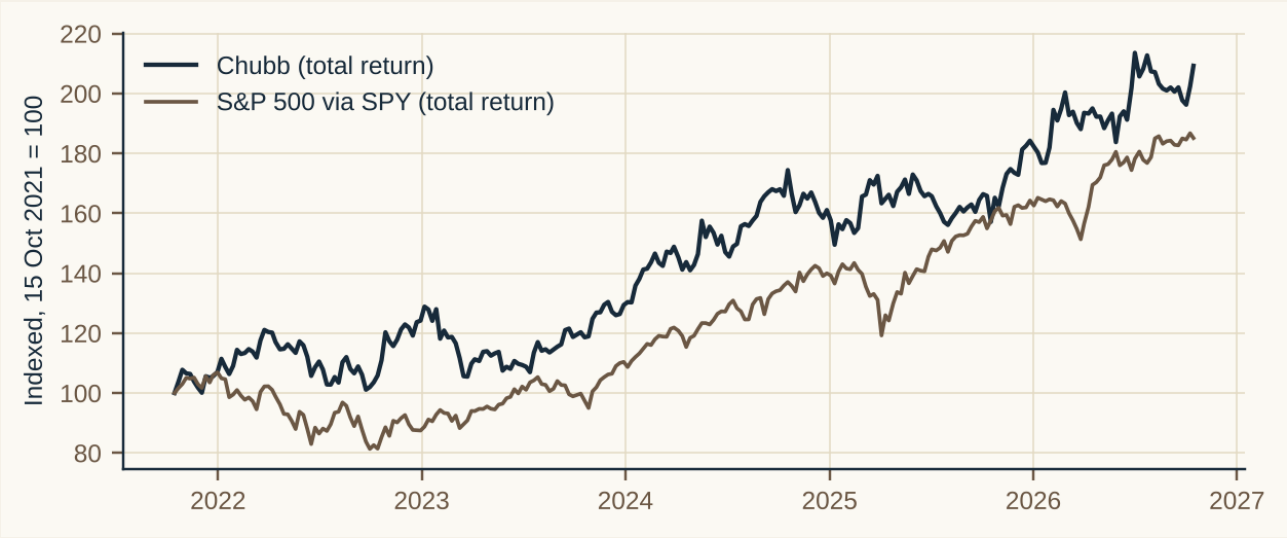
PRICE AND TOTAL RETURN HISTORY TO 15 OCTOBER 2026

Period	CB price return	CB total return	S&P 500 total return
1 day	0.75%	n/a	n/a
1 week	2.62%	n/a	n/a
1 month	3.20%	n/a	n/a
3 months	4.55%	n/a	n/a
6 months	7.59%	n/a	n/a
Year to date	12.54%	13.57%	12.68%
1 year	24.66%	26.19%	19.46%
3 years	67.25%	73.95%	85.46%
5 years	94.58%	109.23%	85.10%
Since November 1999	Not Retrieved	2,637%	Not Retrieved

Source: Alpha Vantage daily and weekly adjusted price series for CB and for SPY (S&P 500 exchange-traded fund) as the benchmark. Short periods use daily closes; longer periods use weekly closes and adjusted closes (dividends reinvested). Calculated by the analyst.

Chubb has outperformed the S&P 500 over one, five and year-to-date horizons but lagged over three years (73.95% against 85.46%) during a technology-led index rally. Against sector peers over the past 52 weeks the stock is up 23.95%, against Travelers at 39.27%, Hartford at 1.24% and AIG at minus 4.57% (provider data).

Chubb versus S&P 500, five-year total return



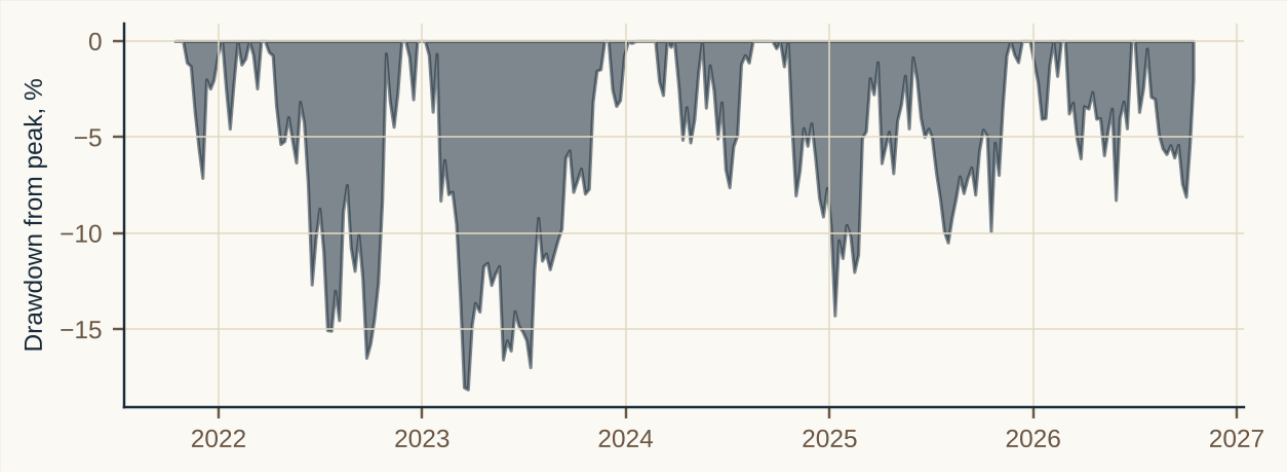
Source: Alpha Vantage weekly adjusted close for CB and SPY, 15 October 2021 to 15 October 2026. Units: index, 15 October 2021 equal to 100.

VOLATILITY AND RISK

Measure	Value	Basis
Annualized volatility, 1 year	18.8%	Weekly total returns
Annualized volatility, 3 years	17.7%	Weekly total returns
Annualized volatility, 5 years	18.8%	Weekly total returns
Annualized volatility, last 100 trading days	21.9%	Daily closes
Downside volatility, 5 years	10.5%	Weekly negative returns, annualized
Beta versus S&P 500, 5 years	0.38	Weekly returns; provider reports 0.37
Beta, 3 years and 1 year	0.16 and minus 0.15	Weekly returns
Correlation with S&P 500, 5 years	0.33	Weekly returns
Maximum drawdown, 5 years	minus 18.1%	Peak 6 January 2023, trough 24 March 2023
Maximum drawdown, 1999 to 2026	minus 50.0%	Peak 19 September 2008, trough 6 March 2009
Current drawdown from peak	minus 2.0%	Peak week of 2 July 2026
52-week range (weekly high and low)	$265.30 to $365.91	Alpha Vantage

Source: Alpha Vantage price series; calculated by the analyst.

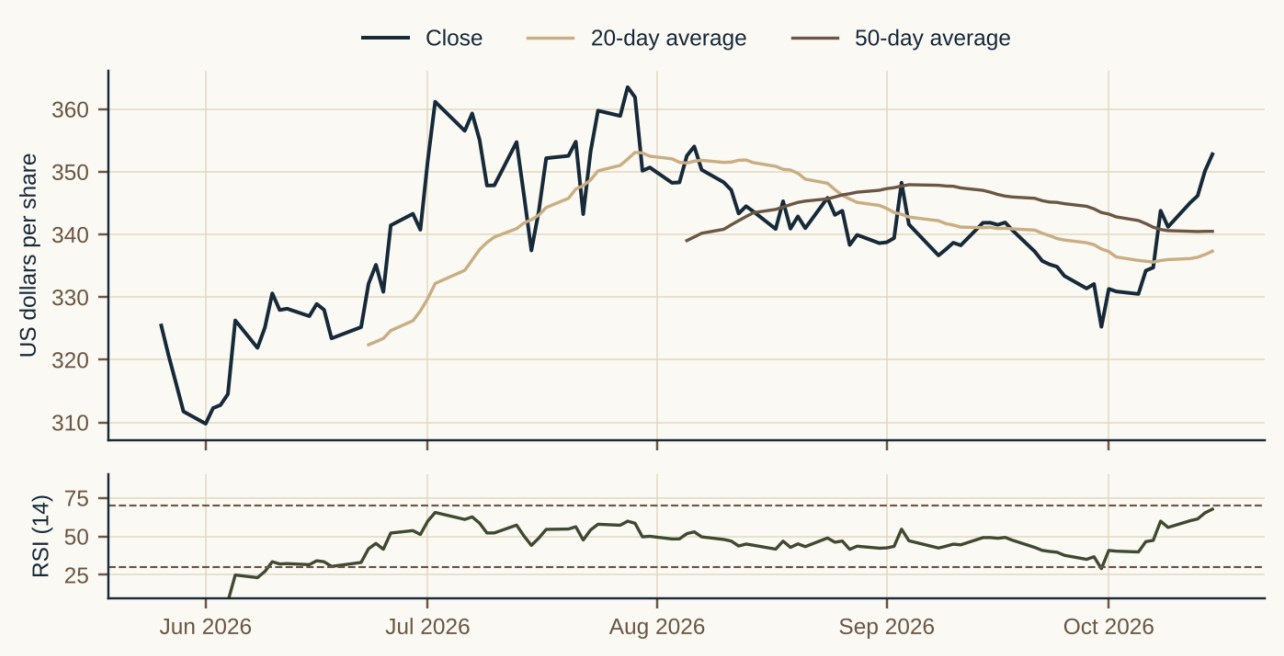
Chubb drawdown from running peak, five years



Source: Alpha Vantage weekly adjusted close, 15 October 2021 to 15 October 2026. Units: percent below prior peak, total return basis.

Market behavior is that of a defensive, low-beta financial. The 5-year beta of 0.38 and correlation of 0.33 show most of Chubb's price movement is driven by insurance-specific factors (pricing cycle, catastrophes, earnings) rather than the equity market, and the worst five-year decline of 18.1% occurred during the 2023 banking stress; the drawdown during the global financial crisis was 50.0%, when the shares fell with financial credit exposure. After the second-quarter results on 21 July the stock traded on its highest volume of the period (4.6 million shares on 22 July) and fell from 354.80 to 343.23 before recovering to a high of about 365.91 in late July and settling in a 325 to 363 range.

Chubb price with 20-day and 50-day moving averages and relative strength index



Source: Alpha Vantage daily series, 26 May 2026 to 15 October 2026. Units: US dollars per share; RSI on a 0 to 100 scale.

TECHNICAL INDICATORS AT 15 OCTOBER 2026

Indicator	Value	Reading
50-day moving average	$340.49	Price 3.6% above
200-day moving average	$331.28	Price 6.5% above (provider)
Relative strength index, 14 days	67.6	Near the overbought threshold of 70
MACD (12, 26, 9)	2.28 versus signal minus 0.20	Positive momentum, histogram plus 2.48
Average true range, 14 days	$5.58 (1.6% of price)	Typical daily range
Volume, 20-day versus 100-day average	1.62 million versus 1.74 million	Not confirming breakout
Support and resistance	$325 and $364	September closing low and late July closing high

Source: Alpha Vantage daily series for price, volume, RSI, MACD and ATR (calculated by the analyst with standard Wilder and exponential smoothing); stockanalysis.com for the 200-day average.

The technical structure is constructive: the stock is above its 20, 50 and 200-day averages, the 50-day exceeds the 200-day, and the recent advance from 325 on 30 September to 353 is a higher low sequence. Momentum is extended, however (RSI 67.6 and a price 3.6% above the 50-day average), and volume is not expanding with price, so the stock sits 3.5% below its late-July high at 365.91 with the third-quarter results due on 20 October after the close. Technical indicators describe trend and positioning; they do not measure value, and a stock trading above its averages can be expensive or cheap on fundamentals independent of the chart.

C. Financial Statements

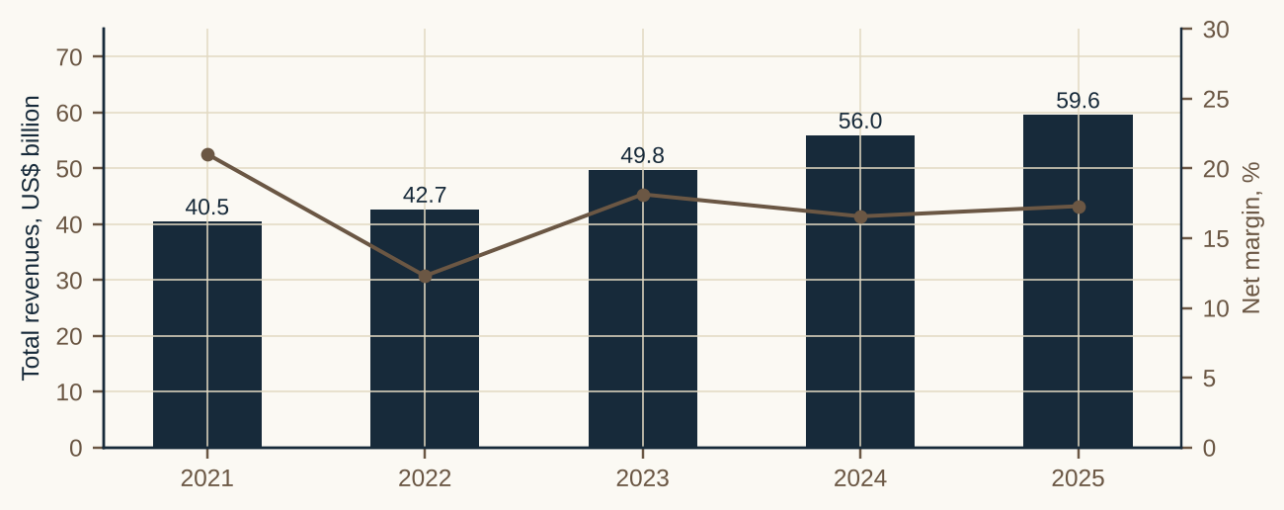
C1. Income Statement

INCOME STATEMENT SUMMARY, US$ BILLION UNLESS STATED

Item	2021	2022	2023	2024	2025	TTM Jun 2026
Net premiums written	37.87	41.76	47.36	51.47	54.84	Not Retrieved
Total revenues	40.53	42.70	49.78	55.98	59.63	61.90
Revenue growth	10.9%	5.4%	16.6%	12.4%	6.5%	7.7%
Pre-tax income (provider operating income)	7.51	6.71	9.45	11.49	12.97	14.58
Interest expense	0.49	0.57	0.67	0.74	0.76	Not Retrieved
Net income attributable to Chubb	8.54	5.31	9.03	9.27	10.31	11.19
Net income per share, US$	19.27	12.55	21.80	22.70	25.68	28.26
Core operating income	5.57	6.46	9.34	9.14	9.95	11.52
Core operating income per share, US$	12.56	15.24	22.54	22.38	24.79	29.04
Dividends per share, US$	3.18	3.29	3.41	3.59	3.82	4.08
Shares outstanding, period end, million	426.6	414.6	405.3	400.7	391.1	385.6

Source: Chubb earnings releases (net premiums written, net income, net income per share and core operating income as reported; 2024 core operating income restated per the fourth-quarter 2025 release); stockanalysis.com and Alpha Vantage (revenues, pre-tax income, interest expense, dividends, shares). Net income for 2021 to 2022 as reported in the fiscal 2022 release. TTM core operating income and core EPS are calculated: fiscal 2025 plus the first half of 2026 less the first half of 2025. The dividend in the TTM column is the current annual rate. Gross profit, EBITDA and R&D are not meaningful for an insurer; EBITDA reported by data providers was $14.1 billion in 2025.

Total revenues and net margin



Source: stockanalysis.com, fiscal years 2021 to 2025. Units: US$ billion and percent of revenue. Revenue includes premiums earned, investment income and realized and unrealized gains.

Revenue is a mix of premiums earned ($53.0 billion consolidated in 2025), net investment income ($6.47 billion pre-tax) and realized and unrealized gains, so it is not a clean measure of volume. Growth is driven by price, exposure and mix, plus acquisitions and currency: in 2025 P&C premiums grew 5.4% and Life premiums 15.1%, and in the second quarter of 2026 Overseas General premiums grew 10.2% reported but 4.8% in constant dollars, so about half of the reported growth was currency. Acquisitions were small recently (cash acquisitions of $0.29 billion in 2025 and $0.03 billion in the trailing year) compared with $5.2 billion in 2022. Net income grew 11.2% in 2025 and core operating income 8.9%.

Operating leverage is positive: in 2025 revenue grew 6.5% while pre-tax income grew 12.9%, because the P&C underwriting margin widened (combined ratio 85.7% against 86.6%), investment income grew 9.0% and the administrative expense ratio was flat at 8.0%. Margins are expanding: the operating margin rose from 15.7% in 2022 to 21.8% in 2025 and 23.6% for the trailing year. The reasons are repricing of the book in 2022 to 2024, higher reinvestment yields (adjusted net investment income grew 19.3% in 2024 and 9.0% in 2025) and a lower loss ratio (56.7% in the second quarter of 2026 against 59.0% a year earlier, helped by lower catastrophe losses of $475 million against $630 million). Taxes are a swing factor: the core operating tax rate was 19.2% in the second quarter of 2026 against full-year guidance of 19.5 to 20%, and 2023 benefited from Bermuda tax effects that make that year's net margin not comparable.

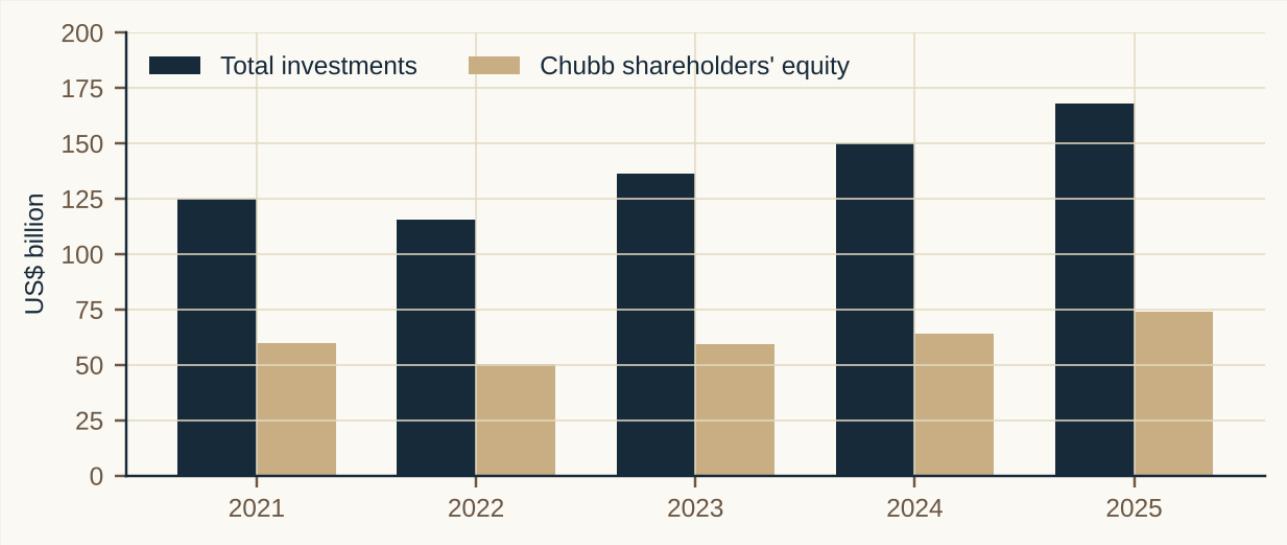
C2. Balance Sheet

BALANCE SHEET SUMMARY, US$ BILLION AT PERIOD END

Item	2021	2022	2023	2024	2025	30 Jun 2026
Cash and equivalents	1.66	2.01	2.45	2.29	2.27	2.51
Total investments	124.97	115.66	136.27	150.13	168.13	172.65
Reinsurance recoverable	17.58	19.16	20.23	20.07	20.62	20.62
Goodwill	15.21	16.23	19.69	19.58	20.21	20.34
Other intangible assets	5.46	5.44	6.78	6.38	8.44	6.15
Total assets	200.05	199.02	230.68	246.55	272.33	281.32
Unpaid losses and loss expenses	72.94	75.75	80.12	84.00	88.02	89.67
Unearned premiums	19.10	19.71	22.05	23.50	26.28	28.51
Total debt (provider definition)	20.20	18.76	19.77	20.72	24.69	25.01
Total liabilities	140.34	148.50	166.99	178.15	192.55	200.48
Chubb shareholders' equity	59.71	50.52	59.51	64.02	73.76	75.37
Noncontrolling interest	0.00	0.00	4.18	4.37	6.02	5.47
Book value per share, US$	139.99	121.85	146.83	159.77	188.59	195.45

Source: stockanalysis.com balance sheet (derived from Chubb filings); book value per share per Chubb earnings releases. Total debt as defined by the data provider includes lease and other borrowings. Chubb's own balance sheet at 30 June 2026 shows short-term debt $0.66 billion, long-term debt $17.45 billion, hybrid debt $0.43 billion and secured repurchase agreements $3.37 billion, a total of $21.91 billion (calculated), used for the debt to capital ratio in this report.

Total investments and Chubb shareholders' equity



Source: stockanalysis.com, fiscal year ends 2021 to 2025. Units: US$ billion.

Net debt in the conventional sense is not meaningful, since Chubb's $172.6 billion of investments are held against policyholder liabilities. On the Chubb balance sheet figures, debt is $21.9 billion against $2.75 billion of cash, and debt to total capital (debt

plus total equity of $80.8 billion) is 21.3% (18.3% excluding hybrid and repurchase debt). Interest coverage was 18.1 times in 2025. Current and quick ratios are not meaningful because an insurer's liabilities are long-dated claims reserves; the relevant liquidity measure is the share of the portfolio that is liquid, which management puts at almost 88% liquid, A-rated fixed income. Equity ratio (Chubb equity over total assets) was 26.8% at 30 June 2026. Asset turnover is not meaningful.

FIXED MATURITY PORTFOLIO AT 30 JUNE 2026, US$ BILLION

Category	Fair value	Share of fixed maturities
U.S. and local government	3.59	2.9%
Non-U.S. government	41.37	33.0%
Corporate and asset-backed	47.93	38.2%
Mortgage-backed	32.63	26.0%
Total available-for-sale fixed maturities	125.52	100.0%
Due in one year or less	4.24	3.4%
Due in one to five years	35.52	28.3%
Due in five to ten years	32.01	25.5%
Due after ten years	21.12	16.8%

Source: Chubb Form 10-Q for the quarter ended 30 June 2026. Shares calculated by the analyst. Shares are of total fixed maturities; the maturity rows exclude mortgage-backed securities (26.0%), which have no single maturity date.

Red flags are limited. Goodwill and intangibles are about 33% of book value per share (tangible book value per share $131.93 against $195.45), which is high and reflects acquisitions such as The Chubb Corporation in 2016 and the Asian consumer businesses; they are not currently impaired. Unrealized losses on bonds reduce reported book value by about $15.36 per share (book value excluding accumulated other comprehensive income is $210.81), meaning book value is exposed to the interest rate path in both directions. Reinsurance recoverables of $20.3 billion are a counterparty exposure, and gross asbestos and environmental liabilities are about 1.4% of gross reserves. Unearned premiums grew 8.5% in six months to $28.5 billion, consistent with continued premium growth. Off-balance-sheet obligations were not separately retrieved.

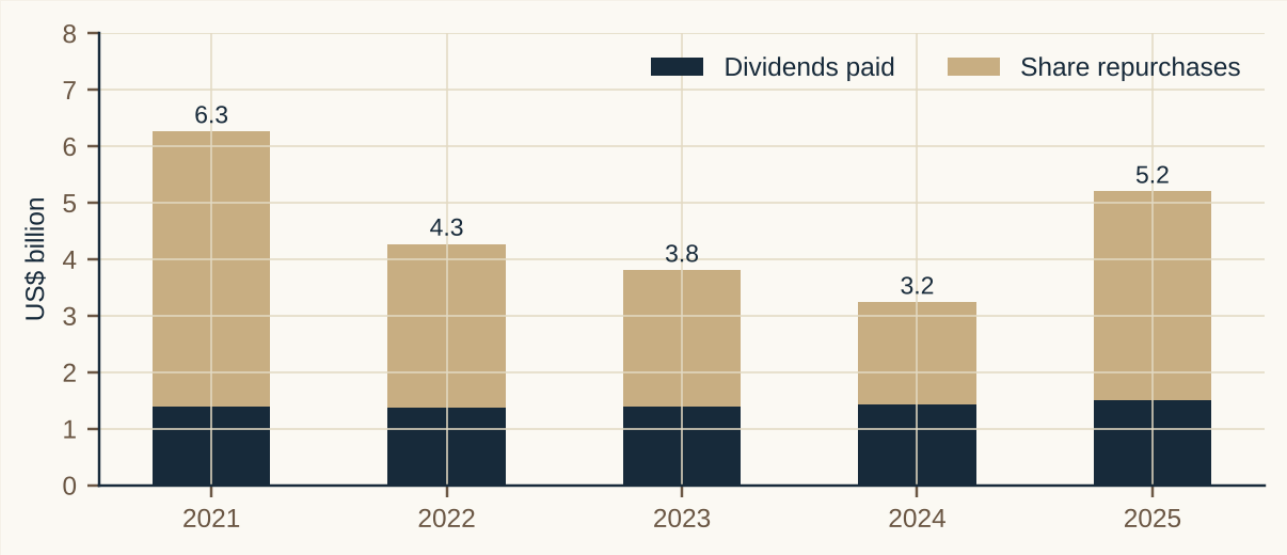
C3. Cash Flow Statement

CASH FLOW SUMMARY, US$ BILLION

Item	2021	2022	2023	2024	2025	TTM Jun 2026
Operating cash flow	11.15	11.26	12.63	16.18	12.82	15.38
Free cash flow (equal to operating cash flow)	11.15	11.26	12.63	16.18	12.82	15.38
Dividends paid	1.40	1.38	1.39	1.44	1.51	1.53
Share repurchases (cash flow statement)	4.86	2.89	2.41	1.80	3.69	4.49
Debt issued	3.43	4.51	4.98	6.91	8.72	12.29
Debt repaid	1.86	5.51	5.20	6.26	6.49	8.96
Cash acquisitions	1.18	5.17	0.03	0.54	0.29	0.03
Net income attributable to Chubb	8.54	5.25	9.03	9.27	10.31	11.19
Operating cash flow to net income	1.31x	2.15x	1.40x	1.75x	1.24x	1.37x

Source: stockanalysis.com cash flow statement; net income per provider (2022: 5.25 against 5.31 reported by Chubb). Repurchases in the cash flow statement are settlement-date amounts and differ from the trade-date amounts in Chubb's earnings releases ($3.39 billion in 2025). Chubb reports no separate capital expenditure line; Alpha Vantage records capital expenditure of zero. Operating cash flow in the 2025 earnings release was $12.82 billion (adjusted $13.91 billion); another provider reports $14.54 billion.

Dividends and share repurchases



Source: stockanalysis.com cash flow statement, fiscal years 2021 to 2025. Units: US$ billion, settlement basis.

Earnings are well supported by cash generation: operating cash flow exceeded net income in every year and in total by about $21.7 billion over 2021 to 2025 (calculated: $64.0 billion against $42.4 billion), the gap being float growth and non-cash investment gains in earnings, which is the standard pattern for a growing insurer. Net income is not cash generation in a timing sense: fourth-quarter 2025 net income of $3.21 billion exceeded core operating income of $2.98 billion, and operating cash flow is boosted by growth in unearned premiums ($28.5 billion, up from $23.5 billion at the end of 2024) that eventually flow to claims. Free cash flow margin on total revenue was 21.5% in 2025 (12.82 over 59.63) and 24.8% for the trailing year, calculated. Capital allocation prioritizes organic growth in invested assets, then dividends (about 14% of earnings) and repurchases (3.69 billion in 2025), with total capital returned (trade-date basis, $4.91 billion) equal to about 48% of 2025 net income and an average of 58% of core operating earnings over five years according to management. Debt issued and repaid are large because Chubb refinances maturing notes and issues in several currencies; net debt issuance of $2.2 billion in 2025 and $3.3 billion in the trailing year is modest against $80.8 billion of equity.

C4. Forecasting and Projections

The model builds core operating income from four drivers: P&C underwriting income (earned premium times one minus the combined ratio), adjusted net investment income, life segment income, and a corporate and minority deduction, then applies a tax rate of 19.75% (guided range 19.5 to 20%). Base-year anchors are 2025 net premiums written of $54.8 billion, P&C underwriting income of $6.53 billion (implying P&C earned premium of about $45.7 billion), adjusted net investment income of $6.95 billion and life income of $1.24 billion. Corporate and other deductions are set at $2.45 billion, $2.55 billion and $2.65 billion (the 2025 reported core operating income of $9.95 billion implies a deduction of about $2.3 billion, grown at 4% a year and rounded). Average share counts are 388, 378 and 369 million, assuming about $4 billion of annual repurchases. Volume, price and mix are collapsed into a single premium growth rate: exposure growth of 2 to 3% and rate change of minus 1.4% in commercial, offset by double-digit growth in Asia and benefits.

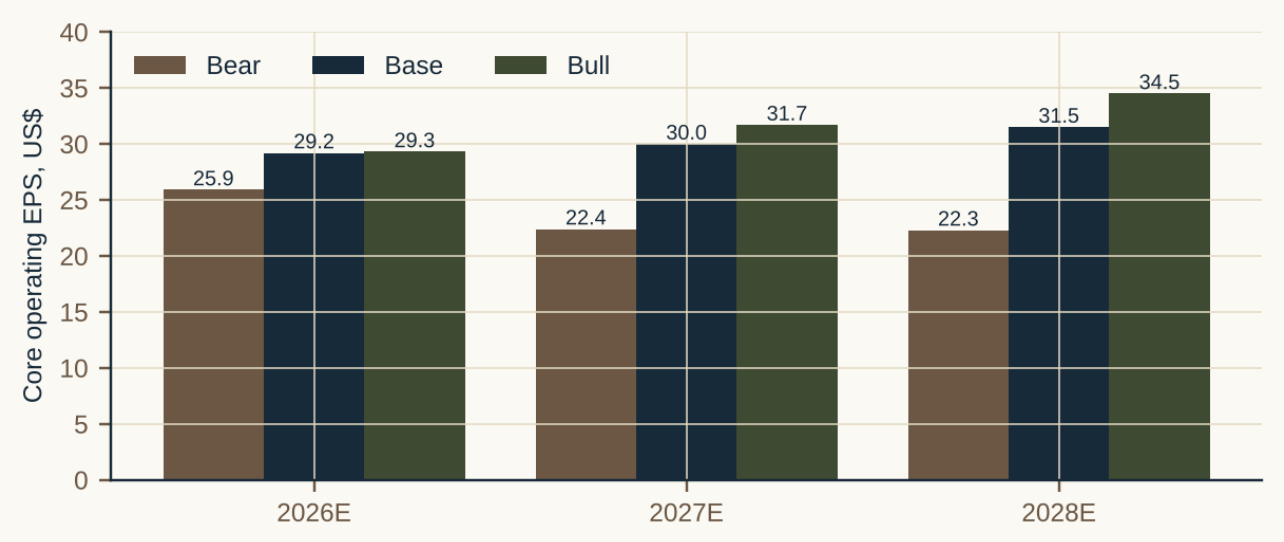
BASE CASE PROJECTION, US$ BILLION UNLESS STATED

Item	2025 actual	2026E	2027E	2028E
Net premiums written	54.84	57.58	59.89	62.58
Growth	6.6%	5.0%	4.0%	4.5%
P&C combined ratio	85.7%	84.3%	85.8%	86.5%
P&C underwriting income	6.53	7.60	7.12	7.04
Adjusted net investment income	6.95	7.60	8.10	8.50
Life segment income	1.24	1.35	1.47	1.60
Core operating income	9.95	11.31	11.35	11.63
Core operating income per share, US$	24.79	29.16	30.02	31.52

Source: analyst projection; 2025 actuals from Chubb's fourth-quarter 2025 earnings release. These are modelling assumptions, not forecasts of what will occur. 2026E is anchored on the reported first half (core operating income of $5.53 billion) and implies about $5.8 billion in the second half, below the $5.99 billion of the second half of 2025, which allows for a normal catastrophe load and softer pricing.

Margin assumptions: the combined ratio rises 1.5 points a year from the 2026 level as property rate declines of 6 to 12% earn through, partly offset by casualty pricing of plus 7% and a lower loss ratio from favorable development. Gross margin in the usual sense does not apply; the administrative expense ratio is held at 8.0% so SG&A efficiency does not drive the result, and R&D intensity is not meaningful. Working capital and capex are inherent in float: capital expenditure is immaterial and operating cash flow is assumed to track net income at about 1.2 to 1.4 times. Market share evolution is not modelled; premium growth of 4 to 5% is roughly in line with the 3.9% real global growth of 2025 and above the 1.3% forecast by Swiss Re for 2026, which requires continued share gain in Asia and middle-market commercial.

Core operating EPS by scenario



Source: analyst projection. Units: US$ per share. Bull: combined ratio held near 85% and premium growth of 6 to 6.5%. Bear: premium growth stalls and the combined ratio rises to 91.5 to 92.5% from 2027.

SCENARIO SUMMARY

Scenario	NPW 2028E, bn	Combined ratio 2028E	Core income 2028E, bn	Core EPS 2028E	2027E P/E at $352.79	DCF value per share
Bear	57.33	92.5%	8.24	22.33	15.7x	288
Base	62.58	86.5%	11.63	31.52	11.8x	380
Bull	65.63	85.0%	12.73	34.51	11.1x	414

Source: analyst projection and discounted cash flow model (section C5). DCF values use a 9.0% cost of equity and 3.0% terminal growth in all three cases with scenario-specific earnings paths and sustainable ROE of 12% (bear), 14% (base) and 15% (bull). Valuation outcomes under stated assumptions, not predictions of the share price.

SENSITIVITY OF 2027E CORE OPERATING EPS (US$) TO COMBINED RATIO AND INVESTMENT INCOME

P&C combined ratio 2027E	Investment income minus 10%	Minus 5%	Base ($8.1 bn)	Plus 5%
83.8%	30.4	31.3	32.1	33.0
85.8% (base)	28.3	29.2	30.0	30.9
87.8%	26.2	27.0	27.9	28.7
89.8%	24.0	24.9	25.8	26.6

Source: analyst calculation. One point of combined ratio is worth about $1.06 of core EPS (about 3.5%) and five percent on investment income about $0.86, so underwriting margin is the more powerful variable: one percentage point of premium growth changes 2027E core EPS by only about $0.15 at a fixed combined ratio.

C5. Discounted Cash Flow (DCF) Model

A conventional enterprise DCF is not suitable for an insurer, because debt, reserves and float are operating items and capital expenditure is nil. The model therefore discounts distributable earnings to equity: core operating income less the retention needed to grow equity in line with earnings (growth divided by return on equity), discounted at the cost of equity. Equity value is as of 31 December 2026 rolled back to 15 October 2026; debt is already reflected in earnings through interest expense, so net debt is not deducted separately.

DCF ASSUMPTIONS AND BASE-CASE CASH FLOWS, US$ BILLION

Item	2027E	2028E	2029E	2030E	2031E
Core operating income growth	0.3%	2.5%	3.5%	4.0%	4.0%
Core operating income	11.35	11.63	12.04	12.52	13.02
Payout (one minus growth over ROE of 14%)	97.9%	82.1%	75.0%	71.4%	71.4%
Distributable earnings to equity	11.11	9.55	9.03	8.94	9.30

Source: analyst model. Base 2026E core operating income of $11.31 billion. Cost of equity 9.0% (risk-free rate of 4.99%, the September 2026 average ten-year Treasury yield from Alpha Vantage, plus a beta of about 0.8 times an equity risk premium of 5.0%; observed beta is 0.38 and was not used because it understates sensitivity to insurance-cycle risk). Terminal growth 3.0%, terminal payout 77% (terminal ROE 13%). Tax: 19.75% already included in core operating income. Capex: nil. Working capital: embedded in float and in reinvestment. Shares: 385.8 million at 20 July 2026. Terminal value $171.9 billion at 2031 (13.2 times 2031 earnings); present value of terminal value $111.7 billion, 75% of total.

The base case produces a value of about $380 per share, against $352.79 in the market. This is not a point estimate of intrinsic value; the sensitivity table shows a range of $315 to $505 per share across a cost of equity of 8.0 to 10.0% and terminal growth of 2.0 to 4.0%. The scenario cases at the same discount rate give $288 (bear), $380 (base) and $414 (bull).

SENSITIVITY: COST OF EQUITY (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), VALUE PER SHARE, US$

Cost of equity	2.0%	2.5%	3.0%	3.5%	4.0%
8.0%	423	438	456	478	505
8.5%	390	401	415	431	450
9.0%	361	370	380	392	406
9.5%	336	343	351	360	370
10.0%	315	320	326	332	340

Source: analyst model. Earnings level sensitivity at 9.0% and 3.0%: base-year earnings minus 10% gives $342, minus 5% $361, plus 5% $399, plus 10% $418; earnings growth one point lower in every year gives $365 and one point higher $396.

The market price corresponds approximately to a cost of equity of 9.5% with terminal growth of 3.0%, or to a 9.0% cost of equity with five-year earnings growth of minus 0.9% a year. Because three quarters of the value is in the terminal period and a one point change in the cost of equity moves value by roughly 8 to 20%, the result should be read as a range, not a target.

C6. Leveraged Buyout (LBO) Model

Not applicable. Chubb is a regulated insurer with a market capitalization of $136 billion, its assets are policyholder-backed investments rather than cash-generating operating assets that can service acquisition debt, and regulators and rating agencies cap holding-company leverage. A leveraged buyout is not a meaningful valuation reference.

D. Investment Thesis

Bull Case

Chubb sustains a combined ratio near 85% despite softer commercial pricing, because casualty and middle-market pricing stay adequate, catastrophe losses remain near $2.5 billion a year and underwriting discipline lets it shed unprofitable property. Premium growth of 6 to 6.5% is driven by Asia, benefits and middle market; adjusted net investment income grows toward $8.7 billion by 2028 as the portfolio compounds at about 9% a year; core operating EPS reaches about $34.50 in 2028 and tangible book value grows by double digits, as management targets. Capital return of about $5 to $6 billion a year reduces the share count by about 3% annually. Valuation expands as the market prices returns near 15%, a justified price to book of about 2.0 to 2.2 times; the bull DCF at 9.0% gives about $414.

Bear Case

Property rates continue to fall by double digits, casualty pricing falls behind 9.5 to 12% excess loss trends, and a year of high catastrophe losses or reserve strengthening lifts the combined ratio to 91.5% in 2027 and 92.5% in 2028. Premium growth stalls at about zero in 2027 as Chubb refuses to chase inadequate prices, core operating EPS falls to about $22 and the return on equity drops to about 12%. A price to book of 1.5 times, in line with the five-year average of 1.56 times, would imply about $293 per share on current book value; the bear DCF at a 9.0% cost of equity gives about $288, 18% below the current price.

Base Case

Premiums grow 4 to 5% a year, the combined ratio drifts up from 84.3% in 2026 to 86.5% in 2028 as property pricing earns through, and growth in investment income (about $7.6 billion to $8.5 billion) offsets most of the lost underwriting margin. Core operating income is roughly flat at $11.3 to $11.6 billion, but EPS grows 3 to 5% a year through repurchases, to about $31.50 in 2028. At a 9.0% cost of equity the DCF value is about $380 and the shares trade at 11.8 times 2027E core EPS, a moderate valuation relative to a return on equity of 14%.

Catalysts

POTENTIAL CATALYSTS

Event	Timing	Why it matters
Third-quarter 2026 earnings	Release 20 October 2026 after close; call 21 October, 8:30 a.m. Eastern	First print after record Q2; tests combined ratio (83.8% in Q2), property pricing, reserve development and catastrophe load.
Year-end renewals (1 January 2027)	December 2026 and January 2027	Reinsurance and property renewals reset pricing; further rate declines would pressure growth.
Atlantic hurricane season	Through 30 November 2026	Catastrophe losses are the largest source of earnings variance.
Fourth-quarter and full-year 2026 results	February 2027	Reserve review, capital return plans and 2027 outlook.
Share repurchases and debt issuance	Ongoing; $979 million repurchased in Q2 2026	Buyback pace reduces share count about 3% a year.
Asia expansion and Huatai	Ongoing	Asia premium growth of 12% and Life segment income growth of 9% in Q2 2026.

Source: Chubb announcement of third-quarter results timing; Chubb second-quarter 2026 earnings release.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
P&C combined ratio	Primary earnings driver	Below 86% excluding unusual catastrophes	Above 89% for two quarters
North America major accounts premium	Where soft pricing bites	Decline narrows from minus 9%	Decline widens beyond minus 12%
Casualty pricing versus loss trend	Reserve adequacy	Price increases above 7%	Pricing below 6% against 9.5 to 12% excess trend
Prior-period development	Reserve quality	Favorable above $250 million a quarter	Net adverse development
Adjusted net investment income	Offsets underwriting softening	Growth above 8%	Growth below 4%
Tangible book value per share	Capital compounding	Double-digit annual growth	Decline from $131.93
Price to book	Valuation anchor	Below 1.7x with ROE near 14%	Above 2.0x without higher returns

E. Final Investment Framework

BUSINESS QUALITY	High. Three diversified profit engines, premiums of $54.8 billion across 54 countries, and recurring renewal revenue.
FINANCIAL QUALITY	High. 2025 net income $10.31 billion, operating cash flow 1.24 times net income, debt to capital 21.3%, interest coverage 18 times.
COMPETITIVE POSITION	Strong. A++ rating, scale and distribution; moat rated Strong but pricing power is cyclical.
MANAGEMENT	Strong on capital allocation and underwriting, with open succession questions: chief executive age 71, tenure since 2004.
INDUSTRY	Mature, cyclical and softening. Global commercial rates are down 6% and non-life growth is forecast at 0.6% in real terms for 2026.
VALUATION	Reasonable. Price to earnings of 12.5 is near its five-year average; price to book of 1.81 is at the top of its range; DCF range of $315 to $505 with a base of about $380.
TECHNICAL AND MARKET STRUCTURE	Constructive trend (above 50 and 200-day averages) with extended momentum (RSI 67.6) and a low beta of 0.38.
PRINCIPAL RISK	A multi-year casualty reserve deficiency or a prolonged soft market that compresses the combined ratio advantage.
PRINCIPAL CATALYST	Third-quarter 2026 results on 20 October 2026 and year-end renewal pricing.
KEY VARIABLE	The P&C combined ratio: one point is worth about $1.06 of annual core EPS (about 3.5%).
THESIS INVALIDATION	The investment thesis would become materially weaker if the P&C combined ratio exceeds 90% on a four-quarter basis without a one-time catastrophe explanation, if net adverse reserve development in active companies exceeds $500 million in any two consecutive quarters, if core operating ROE falls below 12%, or if tangible book value per share declines for two consecutive quarters.

F. Data Table

Category	Metric	Current	Prior year	3Y / 5Y trend
Market	Market capitalization	$136.1 bn	$122.8 bn (FY2025)	$83.3 bn (FY2021)
Market	Enterprise value	$158.6 bn	Not Retrieved	Not Retrieved
Market	Share price	$352.79	$313.47 (31 Dec 2025)	$181.31 (15 Oct 2021)
Growth	Revenue growth	7.7% (TTM)	6.5% (FY2025)	10.1% CAGR 2021 to 2025
Profitability	Gross margin	Not applicable	Not applicable	Not applicable
Profitability	Operating (pre-tax) margin	23.6% (TTM)	21.8% (FY2025)	18.5% (FY2021)
Profitability	Net margin	18.1% (TTM)	17.3% (FY2025)	21.0% (FY2021)
Profitability	ROE	14.8%	14.3% (FY2025)	13.7% average, 5 years
Profitability	ROIC	11.1%	10.9% (FY2025)	9.9% average, 5 years
Cash flow	Operating cash flow	$15.4 bn (TTM)	$12.8 bn (FY2025)	$11.2 bn (FY2021)
Cash flow	Free cash flow (operating cash flow)	$15.4 bn (TTM)	$12.8 bn (FY2025)	3.5% CAGR 2021 to 2025
Leverage	Debt to total capital (net debt to EBITDA not meaningful)	21.3%	20.8% (FY2025)	Not Retrieved
Valuation	P/E	12.5x	11.9x (FY2025)	9.8x to 17.5x range
Valuation	EV/EBITDA	10.7x	11.4x (FY2025)	13.0x (FY2021)
Valuation	P/FCF (price to operating cash flow)	8.9x	9.6x (FY2025)	7.5x (FY2021)

Category	Metric	Current	Prior year	3Y / 5Y trend
Valuation	Price to book	1.81x	1.54x (FY2025)	1.39x to 1.81x range
Market	Beta	0.38 (5Y weekly)	0.16 (3Y weekly)	Provider: 0.37
Market	Volatility, annualized	18.8% (5Y)	17.7% (3Y)	18.8% (1Y)
Market	Maximum drawdown	minus 18.1% (5Y)	Current minus 2.0%	minus 50.0% (1999 to 2026)

Source: stockanalysis.com, Alpha Vantage and Chubb filings; calculations by the analyst. Prior-year column shows fiscal year 2025 or the 2025 year end.

G. Sources and Methodology

Data cross-check

Key figures were compared across sources. Net income, net premiums written, combined ratio and book value per share agree between Chubb's earnings releases, the Form 10-K and data providers. Differences noted: operating cash flow for 2025 is $12.82 billion in Chubb's release and $12.82 billion at stockanalysis.com, but $14.54 billion in the Alpha Vantage cash flow series, which was not used; total debt is $25.0 billion at the data provider, $18.1 billion in Alpha Vantage (excluding hybrid and repurchase debt) and $21.9 billion on Chubb's own balance sheet, which is used for ratios in this report; shares outstanding are 385.8 million (Form 10-Q cover, 20 July 2026) against 393.0 million in Alpha Vantage at 30 June 2026, and the 10-Q is preferred; 2024 core operating income is $9.20 billion in the fourth-quarter 2024 release and $9.14 billion as restated in the 2025 release, the later figure being used; net income for 2022 is $5.31 billion as reported by Chubb and $5.25 billion at the provider; Alpha Vantage shows 2023 gross profit equal to revenue, which is an artefact and is not used. Where sources differ, primary filings are preferred over data providers. Enterprise value is provider-defined and of limited use for an insurer. All market data refer to the close of 15 October 2026. Prices of Travelers, AIG and Hartford are from the same date.

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Calculations

Calculated by the analyst from the sources above: price and total returns, volatility, beta, drawdowns, RSI, MACD, ATR; trailing core operating income and EPS; price to tangible book; shareholder yield; debt to total capital; interest coverage; reserve and premium leverage; compound growth rates; forecast scenarios; discounted cash flow value and sensitivities; reverse-test growth rates; justified price to book. Estimates and assumptions are labelled in the text and table notes.

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